MGT 875 | SERVICE MANAGEMENT

Dexcom

Continuous Glucose Monitoring as a Service for Social Impact

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SOCIAL IMPACT CASE

The Global Diabetes Crisis

537M

Adults with diabetes globally (IDF 2025)

11.1%

Of global adults ages 20-79 affected

$966B

Annual global healthcare costs from diabetes

3.5M

Annual deaths attributed to diabetes complications

Alignment with UN Sustainable Development Goals

SDG 3 · Good Health & Well-Being

Reducing diabetes-related mortality, improving glucose management, enabling preventive care

SDG 10 · Reduced Inequalities

Stelo OTC access, Patient Assistance Program, Community Glucose Monitoring Project for uninsured

SDG 17 · Partnerships for Goals

Collaborations with insulin pump makers, EHR systems, payers, and public health programs

SERVICE STRATEGY & INNOVATION

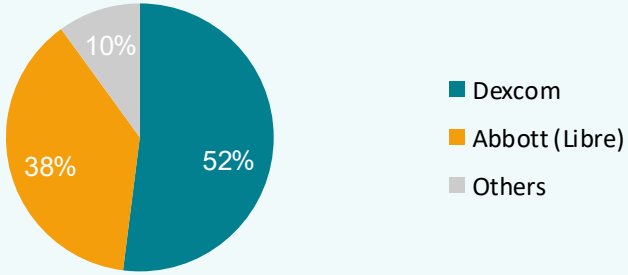
The Service Profit Chain at Dexcom

Internal Quality	Employee Satisfaction	Service Value	Patient Loyalty	Social & Financial ROI
Manufacturing R&D investments FDA compliance	Clinical & tech expertise Academy training	Real-time data Clinical outcomes Peace of mind	Re-subscription Clinician trust Ward-of-mouth	A1C reduction Hospitalization ↓ $4.7B revenue

Service Innovation & Digital Transformation

- AI-powered meal logging launched Q3 2025 — personalized glucose impact insights
- Dexcom Clarity: retrospective analytics platform for clinicians and patients
- Open API / developer ecosystem — 3rd party apps (Signos, Levels, Nutrisense) drive new segments
- Automated Insulin Delivery (AID) integration: Omnipod 5, iLet Bionic Pancreas, Tandem

Competitive Positioning



SERVICE OPERATIONS & CUSTOMER JOURNEY

Dexcom's Multi-Sided Service Platform

1

Awareness

Patient diagnosed
Doctor recommends
Insurance checks

2

Access

Prescription/OTC
DME or pharmacy
Activation app

3

Onboarding

Sensor placement
App setup
Clinician training

4

Daily Use

Real-time readings
Alerts & trends
Share w/ caregivers

5

Re-supply

Auto-refill
Insurance renewal
Sensor replacement

Front Stage vs. Back Stage Operations

FRONT STAGE (Visible to Patient)

Mobile app, glucose alerts, Dexcom Clarity reports, Share feature, customer support, sensor packaging & instructions

BACK STAGE (Invisible to Patient)

Sensor manufacturing (US & Malaysia), FDA regulatory compliance, insurance & DME partnerships, R&D ($157M/quarter), cloud data infrastructure

VALUE CREATION × VALUE CAPTURE

Where is Dexcom now — and where can it go next?

VALUE CAPTURE

Value-in-use

Maximizing long-term benefit to the patient over time

Value-in-exchange

One-time transaction: device or sensor sale

↑

WHERE DEXCOM WAS

Sell the sensor.

G6/G7 device sold via DME channel; revenue = units shipped; patient relationship mediated by payer & pharmacy. No direct data relationship.

TRANSITION ZONE

Stelo subscription + GenAI.

OTC subscription model; 50%+ renewal rate; GenAI Weekly Insights; Oura Ring integration. Still capturing exchange value but creating use value through AI coaching.

MISSED OPPORTUNITY

Outcomes-based payer contracts.

Dexcom has real-world outcome data (A1C, hospitalizations) but does not yet monetize it. Shared-savings contracts with Medicare Advantage payers remain untapped.

★ WHERE DEXCOM IS GOING

Biosensing health platform.

AI coach + multi-biomarker sensing + WHO/LMIC partnerships + platform API. Monetize outcomes, not transactions. Long-term patient relationship = lifetime health value.

VALUE CREATION →

Value-in-exchange

(sensor as product — sell the hardware)

Value-in-use

(CGM as ongoing health service — outcomes delivered)

CURRENT STATE SUMMARY

What's Going Well

- **Scale:** >2.8 million customers at year-end 2024
- **Dexcom Warriors Community:** 30,000+ people sharing stories and support others with diabetes
- **Access Pathways:** Pharmacy savings program, Insurance coverage navigation, Patient Assistance Program portal
- **Research Engine:** 200+ peer-reviewed journal articles and 350+ clinical trials worldwide in 2024
- **Mission Alignment:** 89% of employees said they can see a clear link between their work and Dexcom's mission

Gaps & Challenges

- **Reliability Issues:** FDA recall and corrections tied to alert reliability
- **Manufacturing Compliance:** FDA Warning Letter raised quality-system requirements
- **Interoperability Gap:** Uneven integration across devices/apps creates inconsistent user experience
- **Access:** Reimbursement pressure limits affordability, slowing adoption & widening inequity
- **Sustainability Constraint :** Disposable sensors and transmitters generates significant plastic waste; Limited recycling options

Source: Company, Dexcom Sustainability Report (April 2025), https://www.fda.gov/inspections-compliance-enforcement-and-criminal-investigations/warning-letters/dexcom-inc-700835-03042025

FUTURE EXPANSION PLAN

RIGHT AWAY
Stabilize Core Service

- **Fix G7 Reliability Issues**
  Sensor accuracy, app stability, supply continuity
- **Reduce Onboarding Friction**
  Simplify activation & insurance workflows to prevent early churn; Dexcom Warriors
- **Ensure Infrastructure Readiness**
  Minimize execution risk before scaling up

1 YEAR
Horizontal Integration

- **Sustainability for Scale**
  Reduce packaging/material footprint; Design for future recycling
- **Open Ecosystem Partnerships**
  Dexcom API; Integrate with wearables; Health dashboards & data platforms
- **Expand beyond Diabetes (Stelo)**
  Enter prevention segment; Shift from passive management to preventive monitoring

3 YEARS
Prevention Infrastructure

- **Expand Distribution Equity**
  Partner with NGOs/public health payers to expand access to low-income households
- **Data Intelligence Infrastructure**
  Build a synthetic data & research engine for predictive analytics & drug development research; Build AI-powered risk modeling

06 FUTURE GROWTH | IMPACT & ROI PROJECTIONS

Social Impact ROI

A1C Reduction

NOW: Community project: −2.4% in 6 months

FUTURE: Scale to 1M uninsured patients → prevent 200K hospitalizations/yr

Access Expansion

NOW: 2.8M users globally (tiny fraction of 537M)

FUTURE: Target: 10M users by 2028 through LMIC expansion

Healthcare Cost Savings

NOW: $10,000+ annual savings per well-managed diabetic

FUTURE: 10M users × $5K savings = $50B societal value created

Mortality Reduction

NOW: CGM proven to reduce severe hypoglycemia events by 40%+

FUTURE: At scale: measurably reduce diabetes-related mortality in target markets

Financial Investment Required

Short-term fix costs ~$50–100M | 1-Year program ~$200M | 3-Year vision ~$500M total → Expected revenue uplift: +$1–2B by 2028 at current growth trajectory

06 RISK MANAGEMENT

Key Risks & Mitigation Plan

Regulatory & Quality Risk

Scaling to 10M users increases regulatory exposure, manufacturing complexity, and risk of device quality failures.

MITIGATION: Invest early in quality systems (FDA aligned), remove redundant manufacturing capacity, phased geographic rollout, dedicated regulatory team for LMIC markets.

Affordability & Access Risk

Targeting uninsured and LMIC populations may fail due to pricing barriers.

MITIGATION: Tiered pricing model, employer & NGO partnerships, outcome-based reimbursement models, subscription financing options.

Operational Strain & Service Profit Chain Risk

Rapid growth can degrade service quality (customer support, onboarding, logistics), breaking the Service Profit Chain.

MITIGATION: Invest in frontline workforce & Training, real-time service metrics (NPS, resolution time), phased scaling, localized support teams in new markets.

Data Privacy & Trust Risk

Expanded data usage increases cybersecurity and ethical scrutiny.

MITIGATION: Privacy-by-design architecture, explicit consent frameworks, federated analytics instead of raw data sharing, transparent governance reporting.

CONCLUSION

Dexcom's Opportunity to Lead Service Management for Social Impact

Dexcom sits at a pivotal intersection: a profitable, high-growth technology company whose core service simultaneously saves lives and reduces suffering for hundreds of millions of people. The frameworks from this course — service quality, customer journeys, the service profit chain, and innovation strategy — all converge on one insight:

The greatest untapped lever for Dexcom is not product innovation — it's service access. Fixing reliability, scaling equity, and deepening the patient journey will unlock both the next billion in revenue and the next million lives improved.

Thank you

Appendix

01 COMPANY OVERVIEW

Who is Dexcom?

Founded in 1999 in San Diego, CA, Dexcom pioneered the continuous glucose monitoring (CGM) industry. The company's mission is to empower people with real-time glucose data, reducing the burden and danger of finger-prick testing.

Product Portfolio

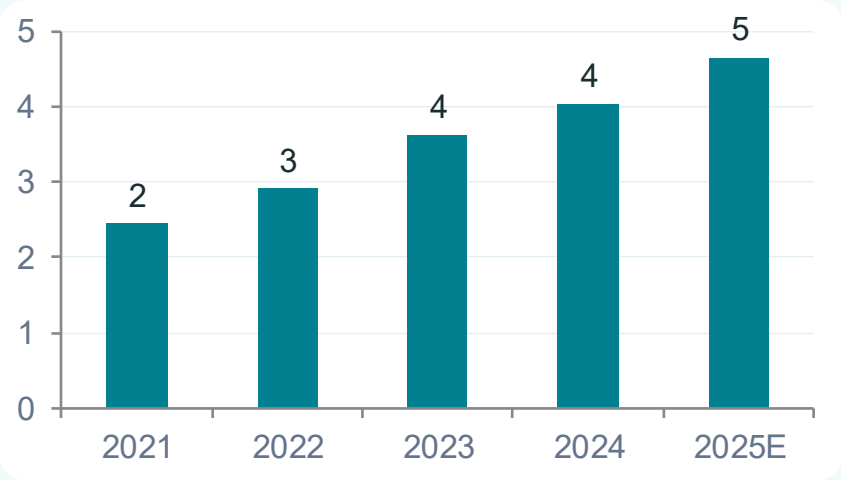
Dexcom G7
Flagship CGM for insulin users — 10.5 days, prescription required

Dexcom G7 15 Day
Latest launch (Dec 2025) — 15.5-day wear, 8.0% MARD accuracy

Stelo by Dexcom
OTC CGM launched 2024 — no prescription, ~$99/month, Type 2 non-insulin

Dexcom ONE+
Affordable international version for broader global access

Revenue Growth ($B)



2.8M+
Users (2024)

50+
Countries

$5.2B
2026E Revenue

Demand Shaping Strategies

Segmentation

Type 1 (intensive insulin) vs. Type 2 basal vs. Type 2 non-insulin (Stelo) → tailored products per segment

Insurance Coverage Expansion

Medicare coverage expanded Jan 2025; 90% of T1D on commercial insurance now covered; OTC Stelo removes prescription barrier

Provider Engagement

50,000 new prescribers added in 2024; Dexcom Academy platform for HCP education launched 2025

Community Programs

Community Glucose Monitoring Project: free CGMs to uninsured T2D patients; A1C dropped from 9.4% → 7.1% in 6 months

Service Quality (SERVQUAL Lens)

Reliability

G7 inaccuracies Day 1; unauthorized design change found in FDA inspection

Responsiveness

24/7 alerts; Share feature for caregivers; but replacement process rated slow by users

Assurance

FDA-cleared, clinically validated; strong clinical trial evidence base

Empathy

Warrior program; personalized app insights; Dexcom Follow for caregivers

Tangibles

Wearable sensor + app; waterproof; Apple Watch integration; AI meal logging

EMPLOYEE ENGAGEMENT

2024 GLOBAL ENGAGEMENT SURVEY

participated in our Global Engagement Survey

Our engagement scores remain very high, far exceeding comparable benchmarks.

	2021	2022	2023	2024
I am proud to work for Dexcom	89%	90%	91%	91%
I can see a clear link between my work and Dexcom's mission	87%	89%	90%	89%
My work gives me a feeling of personal accomplishment	78%	83%	84%	83%

Engagement levels remain high across the company, with some of our highest scores for topics such as "I am proud to work for Dexcom" and "I can see a clear link between my work and Dexcom's mission."

In response to previous employee feedback, we **invested to improve career development opportunities for our employees.** Our 2024 survey showed the result of that investment with significant improvement in our career development scores.

75% of employees agreed that leadership responds to feedback from our employees.

Source: Company, Dexcom Sustainability Report (April 2025)